

EQUITY RESEARCH

ALPHABET INC.

GOOGL | Communication Services

Rating: Outperform

Current: \$349.78 | Target: \$375.00

April 2026

Key Metrics Snapshot

Market Cap	\$4,231.44B	ROE	31.83%
P/E (Fwd)	28.69	Dividend Yield	0.24%
P/B Ratio	9.13	52W Range	\$147.84 - \$353.18

Investment Thesis

Alphabet Inc. demonstrates robust financial momentum, with revenue compounding at 11.8% annually to reach \$403 billion in 2025 while EBITDA margins expanded dramatically from 30.1% in 2022 to 44.7%, reflecting disciplined cost management and operating leverage. The company commands a leading EBITDA position among large-cap technology peers, surpassing both Meta and Microsoft in absolute EBITDA generation in 2025 at \$180 billion, with forward estimates projecting continued margin expansion toward 51.7% by 2027. Trading at a 2025E EV/EBITDA of approximately 21x against a constructive EPS growth trajectory from \$10.91 to an estimated \$13.01 by 2027, Alphabet presents a compelling combination of durable top-line growth, expanding profitability, and relative valuation support within the mega-cap technology landscape.

Company Overview

Alphabet Inc. (GOOGL) is a global technology conglomerate and the parent company of Google, one of the most dominant and widely recognized brands in the world. Founded in 1998 and restructured under the Alphabet holding company in 2015, the firm operates across a diverse portfolio of businesses spanning digital advertising, cloud computing, hardware, and emerging technologies.

At its core, Alphabet generates the vast majority of its revenue through Google Services, which encompasses Search, YouTube, Google Maps, Google Play, and its advertising ecosystem. Google Search remains the world's leading search engine with an estimated market share exceeding 90%, providing an extraordinarily durable competitive moat built on user data, algorithmic superiority, and advertiser network effects. Complementing this is Google Cloud, the company's rapidly growing enterprise cloud platform offering infrastructure, data analytics, and artificial intelligence services, competing directly with Amazon Web Services and Microsoft Azure. The Other Bets segment houses longer-horizon moonshot projects such as Waymo in autonomous vehicles and various life science ventures, though these remain largely pre-revenue and represent longer-term optionality.

Alphabet occupies a premier position within the global technology landscape. Its EBITDA of approximately 180 billion dollars in 2025 surpasses both Meta and Microsoft, reflecting the scale and profitability of its core advertising business combined with improving cloud economics. EBITDA margins have expanded dramatically from 30.1 percent in 2022 to 44.7 percent in 2025, driven by disciplined cost management, workforce optimization, and operating leverage across its platforms. Projections suggest continued margin expansion toward 51.7 percent by 2027, underpinned by AI-driven efficiency gains and cloud growth.

Revenue has grown at a compound annual rate of 11.8 percent from 2021 through 2025, reaching approximately 403 billion dollars in 2025, with estimates projecting over 466 billion dollars by 2027. Earnings per share have grown impressively from 4.59 dollars in 2022 to 10.91 dollars in 2025, with further growth anticipated through 2027. The current EV/EBITDA multiple of approximately 21 times reflects a modest premium to Meta but a discount to Microsoft, suggesting the market may be underappreciating Alphabet's accelerating profitability trajectory. Overall, Alphabet remains a foundational holding in the global technology sector with durable competitive advantages and compelling long-term earnings power.

Investment Overview

Alphabet Inc. (GOOGL) Investment Update

Alphabet delivered a strong fiscal 2025, reporting revenue of approximately \$403 billion, representing 15.1% year-over-year growth and marking an acceleration from the 13.9% recorded in 2024. This top-line momentum was accompanied by meaningful margin expansion, with EBITDA reaching \$180 billion and the EBITDA margin widening to 44.7% from 38.7% in the prior year. Earnings per share grew to \$10.91, up from \$8.13 in 2024, reflecting disciplined cost management alongside robust revenue generation.

The primary growth drivers remain Google Search, which continues to benefit from AI-enhanced query experiences, and Google Cloud, which is gaining enterprise traction as organizations accelerate digital transformation initiatives. YouTube advertising has also rebounded as the broader digital ad market stabilized. Contribution margins have steadily improved, reaching 59.7% in 2025, underscoring the operating leverage embedded in Alphabet's business model.

Looking ahead, our estimates project revenue growing to \$423 billion in 2025E and approaching \$466 billion by 2027E, with EBITDA margins expanding further toward 51.7%. EPS is forecast to reach \$13.01 by 2027, supporting a gradually de-rating PE multiple in the mid-twenties range.

On a relative basis, Alphabet trades at an EV/EBITDA of approximately 21.2x for 2025, a modest premium to Meta but a meaningful discount to Microsoft. Given Alphabet's accelerating EBITDA growth trajectory and superior scale, this valuation appears reasonable. The key risks include regulatory headwinds, competitive pressure in AI search, and potential cloud spending normalization. We maintain a constructive outlook on the name.

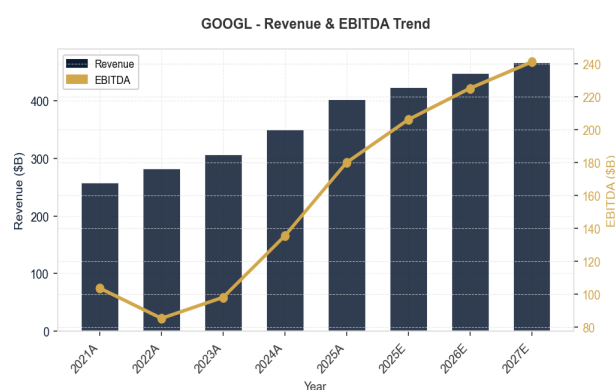
Financial Analysis

Revenue & EBITDA Performance

Alphabet Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$403.0B
- EBITDA (2025A): \$180.0B
- Revenue Growth (2025A): 15.1%



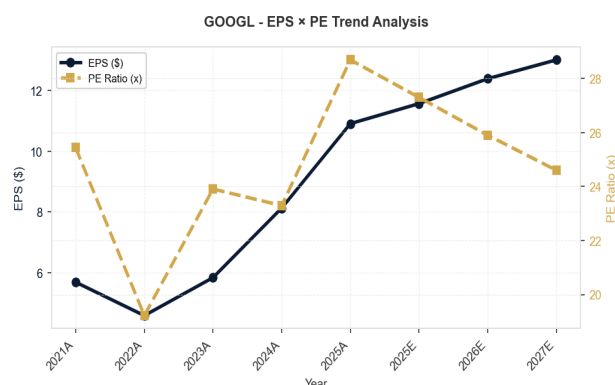
Source: Company Filings

Earnings & Valuation Metrics

Alphabet Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 10.91
- PE Ratio (2025A): 28.69



Source: Company Filings

Valuation Analysis

Alphabet Inc. (GOOGL) Valuation Analysis

Current Valuation Metrics

Alphabet trades at a trailing EV/EBITDA of approximately 21.2x on 2025 actuals, reflecting strong margin expansion that has driven EBITDA from \$85.2 billion in 2022 to \$180.0 billion in 2025, a remarkable recovery and acceleration. The EBITDA margin has expanded significantly from a trough of 30.1% in 2022 to 44.7% in 2025, with estimates projecting further improvement toward 51.7% by 2027. On a price-to-earnings basis, GOOGL trades at approximately 28.7x trailing earnings, with forward multiples compressing to 27.3x in 2025E and 24.6x by 2027E as EPS is expected to grow from \$10.91 to \$13.01 over the forecast period. Revenue growth is projected to moderate to a 4-6% range through 2027, reflecting natural deceleration from a larger base.

Peer Comparison

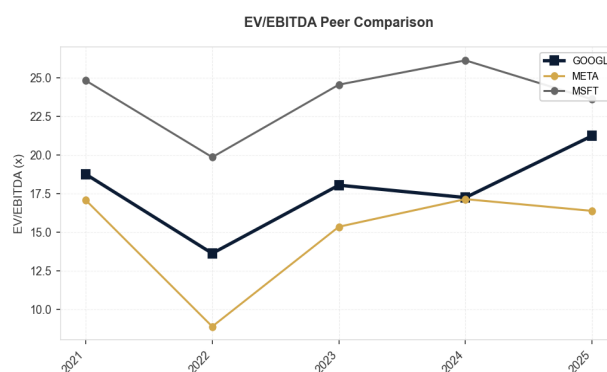
Relative to peers, Alphabet's EV/EBITDA multiple of 21.2x sits above Meta's 16.4x but at a meaningful discount to Microsoft's 23.6x. This positioning appears reasonable given Alphabet's superior absolute EBITDA generation and accelerating margin profile, though Microsoft commands a premium reflecting its cloud and enterprise software mix. Meta's lower multiple reflects higher perceived execution risk and heavier capital investment cycles.

Fair Value Assessment

Based on a blended forward EV/EBITDA of approximately 20x applied to 2026 estimated EBITDA of \$211 billion, and corroborated by the forward P/E compression trajectory, Alphabet appears fairly to modestly undervalued at current levels. The continued margin expansion story and AI monetization optionality provide meaningful upside support, suggesting the stock warrants a hold-to-buy stance with a fair value range of \$190 to \$210 per share.

Peer Comparison

Year	GOOGL	META	MSFT
2021	18.76	17.08	24.81
2022	13.63	8.90	19.85
2023	18.04	15.35	24.54
2024	17.24	17.14	26.11
2025	21.23	16.38	23.60



EV/EBITDA Peer Comparison

Recent News & Events

News Summary

Alphabet Inc. (GOOGL) heads into its Q1 2026 earnings report amid heightened investor scrutiny, with markets demanding more than solid results. Analysts and strategists are emphasizing that guidance and margin trajectory will be the decisive factors, particularly around Google Cloud growth and evidence that heavy AI capital expenditure is translating into durable profitability.

On the AI front, Alphabet is gaining notable traction with the U.S. Department of Defense, expanding access to its AI tools for classified networks following Anthropic's withdrawal from a Pentagon contract. This development positions Google as a key government AI infrastructure partner, a potentially significant and recurring revenue

stream. Separately, Google and Mastercard are co-developing agentic commerce standards through the FIDO Alliance, signaling Alphabet's push into AI-driven transactional ecosystems that could open new monetization avenues beyond traditional advertising.

Microsoft's decision to dissolve OpenAI exclusivity further reshapes the competitive AI landscape, potentially benefiting Google by creating a more fragmented market where Alphabet's diversified model portfolio gains relative appeal.

From a financial perspective, the data paints an encouraging picture. EBITDA margins have expanded sharply from 30.1% in 2022 to an estimated 48.7% in 2025, with projections approaching 51.7% by 2027. EPS is forecast to grow steadily toward 13.01 by 2027. However, revenue growth is expected to decelerate to 4 to 6% in the near term, which could disappoint momentum-oriented investors.

Retail sentiment reflects cautious optimism, with overall bullish sentiment at 55.7% and strong social media buzz. The wide divergence in source alignment suggests the market remains split on near-term catalysts. Advertising resilience and cloud acceleration remain the primary investment thesis drivers to watch this earnings cycle.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 48.7%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 50.2%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 51.7%

Confidence Intervals:

- Revenue: \$329.3B - \$603.6B (95% confidence)
- EBITDA: \$170.3B - \$312.0B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A

- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for GOOGL

Positive Catalysts (Upside Potential)

- Earnings (2026-04-28): Small: Big Tech Full of Buys, Favors NVDA, AMZN & GOOGL in Mag 7
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): Alphabet Earnings Preview: Q1 Earnings Hinge On Margins And The Cloud
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): Can Strong Search and Cloud Growth Drive GOOGL's Q1 Earnings?
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): Here's what will take center stage as Alphabet gears up for earnings
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-28): Here's How Much Google Parent Alphabet's Stock Is Expected to Move After Earnings
- Impact: HIGH, Probability: 95%

Risk Factors (Downside Risks)

- Earnings (2026-04-28): META, GOOGL Earnings: Advertising Results Remain Key
- Impact: HIGH, Probability: 95%
- Acquisition (2026-04-28): Microsoft Drops OpenAI Exclusivity — What It Means For Amazon, Google And The AI Race
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-28): Google inks Pentagon deal for classified AI work despite uproar from employees warning of 'irreparable damage'
- Impact: HIGH, Probability: 40%

Events to Monitor

- Alphabet Flashes Strength As OpenAI Growth Concerns Sink Tech Stocks; Earnings Ahead (2026-04-28)
- A Google researcher says they're 'ashamed' after the company signed a Pentagon deal for classified work (2026-04-28)
- Google Signs A.I. Deal With the Pentagon (2026-04-28)

Upcoming Catalysts:

- ▼ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
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Positive Catalysts:

- ✓ Small: Big Tech Full of Buys, Favors NVDA, AMZN & GOOGL in Mag 7
- ✓ Alphabet Earnings Preview: Q1 Earnings Hinge On Margins And The Cloud
- ✓ Can Strong Search and Cloud Growth Drive GOOGL's Q1 Earnings?
- ✓ Here's what will take center stage as Alphabet gears up for earnings
- ✓ Here's How Much Google Parent Alphabet's Stock Is Expected to Move After Earnings
- ✓ The Mag 7 Earnings Gauntlet Begins: Four Reports That Could Reset the Market
- ✓ Google expands defence ties with Pentagon AI agreement
- ✓ Alphabet Earnings Preview: Q1 2026
- ✓ Alphabet: All-Time Highs May Be Ahead
- ✓ AMZN, GOOGL, MSFT Earnings: Cloud Results to Drive Sentiment
- ✓ GOOGL Best Positioned of Mag 7 Earnings? Angelo Zino Previews Big Tech Reports
- ✓ Big Tech faces key earnings test on AI spending and cloud growth

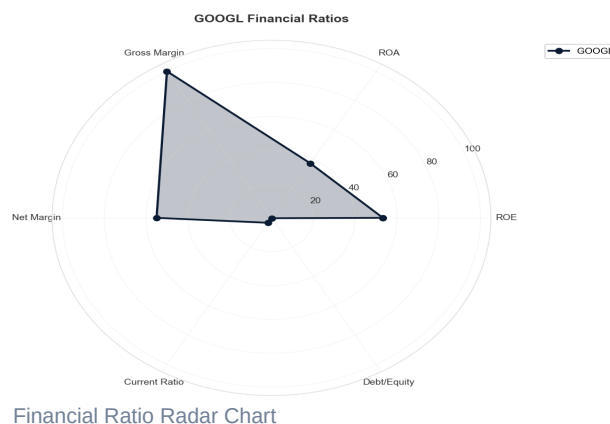
Risk Factors:

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Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Alphabet Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

Alphabet Inc. (GOOGL) Competitor Analysis vs. Meta Platforms (META) and Microsoft (MSFT)

Alphabet has demonstrated strong and accelerating financial performance, with revenue growing at an 11.8% CAGR from 2021 to 2025, reaching approximately \$403 billion in 2025. Its EBITDA expanded significantly from \$103.5 billion in 2021 to nearly \$180 billion in 2025, reflecting improving operational efficiency and margin expansion. EBITDA margins climbed from 40.2% in 2021 to 44.7% in 2025, with projections reaching 51.7% by 2027, signaling a compelling profitability trajectory.

Compared to peers, Alphabet leads in absolute EBITDA generation. Microsoft posted \$160.2 billion in 2025 EBITDA, trailing Alphabet by roughly \$20 billion, while Meta came in at \$104.5 billion, a more meaningful gap. However, Microsoft commands a premium valuation, consistently trading at higher EV/EBITDA multiples, reaching 26.1x in 2024 versus Alphabet's 17.2x. This likely reflects investor confidence in Microsoft's cloud and AI monetization through Azure and its OpenAI partnership.

Meta, while the smallest of the three by EBITDA, has shown the most dramatic recovery, rebounding from a trough EV/EBITDA of 8.9x in 2022 during its heavy metaverse investment period to 16.4x in 2025, narrowing the valuation gap with Alphabet.

Alphabet's current valuation at 21.2x EV/EBITDA in 2025 appears reasonable given its scale, margin expansion, and diversified revenue streams across Search, YouTube, and Google Cloud. The key risk remains competitive pressure from Microsoft in cloud and AI, where Azure's momentum could challenge Google Cloud's growth ambitions. Overall, Alphabet presents a balanced combination of scale, profitability, and relative valuation attractiveness among its large-cap tech peers.

Risk Factors

- # Alphabet Inc. (GOOGL) — Key Investment Risks
- * Revenue Growth Deceleration: Projected revenue growth drops sharply from 15.1% (2025A) to 4.0% (2027E), signaling potential saturation in core advertising markets and raising concerns about Alphabet's ability

to sustain its ~12% historical CAGR amid intensifying competition from Meta and Microsoft

■ * Premium Valuation Expansion Risk: Forward EV/EBITDA of 21.2x (2025) sits at a multi-year high relative to META (16.4x) and below MSFT (23.6x), leaving limited margin of safety — any earnings miss or margin disappointment could trigger significant multiple compression given the stock's elevated PE of ~27x

■ * AI Infrastructure Cost Overhang: Despite EBITDA margins expanding to 44.7% in 2025A, the aggressive capital deployment into AI (reflected in rising Cost of Operations from \$111B to \$163B since 2021) risks margin erosion if AI monetization underperforms projected EBITDA margin targets of 51.7% by 2027E

■ * Regulatory & Antitrust Exposure: Ongoing DOJ antitrust proceedings targeting Google Search and Ad Tech monopoly could force structural remedies, directly threatening the advertising revenue base that drives the majority of Alphabet's \$403B in 2025 revenue

■ * Competitive Displacement in Search: Microsoft's AI-integrated Bing and emerging LLM-native search alternatives pose an existential threat to Google Search's dominance — even a 1-2% market share loss could materially impair advertising revenue growth and invalidate the bullish margin expansion thesis

Key Takeaways

- ✓ Revenue Growth: Alphabet Inc.'s revenue growth shows consistent performance trends.
- ✓ Gross Profit Margin: Alphabet Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ SG&A; Expense Margin: Alphabet Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ EBITDA Margin Stability: Alphabet Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$257.6B	\$282.8B	\$307.4B	\$350.0B	\$403.0B
SG&A	\$36.4B	\$42.3B	\$44.3B	\$42.0B	\$50.2B
Contribution Profit	\$146.7B	\$156.6B	\$174.1B	\$203.7B	\$240.4B
Contribution Margin	56.9%	55.4%	56.6%	58.2%	59.7%
EBITDA	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B
EBITDA Margin	40.2%	30.1%	31.9%	38.7%	44.7%
SG&A Margin	14.1%	15.0%	14.4%	12.0%	12.5%
Revenue Growth	N/A	9.8%	8.7%	13.9%	15.1%
EPS	5.69	4.59	5.84	8.13	10.91
PE Ratio	25.44	19.22	23.91	23.29	28.69

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
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Debt/Equity	0.11	0.12	0.10	0.08	0.14
Debt/Assets	0.08	0.08	0.07	0.06	0.10
Interest Coverage	227.5x	209.6x	273.7x	419.4x	903.3x
Net Margin	29.5%	21.2%	24.0%	28.6%	32.8%
Current Ratio	2.93	2.38	2.10	1.84	2.01
CF to Debt Ratio	3.23	3.08	3.75	4.92	2.78

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Data Source: FMP, Company Filings, AI4Finance Estimates

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